Beatrice Offshore Wind, 17.5% stake at £155m

As of 15 June 2026 · Valuation date 31 March 2026 (locked box) · For Equitix's pre-emption decision · £m nominal, years to 31 March

DO NOT MATCH On public evidence the stake is worth £133.1m by APV, so £155m is 16.5% above value and returns 4.9% (1.12x cash). Match only if all four diligence gates below clear; even then the IRR is about 9.2%, with no margin of safety. Equitix in fact exercised its right (TRIG RNS, 15 June 2026); this memo tests that decision.

TRANSACTION AND IMPLIED VALUATION (100%)

Asset	588 MW, 84 × 7 MW turbines, Outer Moray Firth; full operation from May 2019
Seller, buyer	TRIG (17.5%); Equitix, the other 17.5% holder, via pre-emption. After: SSE 40%, Equitix 35%, Red Rock Power 25%
Price	About £155m, 4% below TRIG's 31 December 2025 value (£161.5m)

Equity (£155m ÷ 17.5%)	885.7
Generation Term Facility, 31 March 2026 (estimate)	1,262.2
Less reserve cash	(103.9)
Enterprise value, net of cash	**2,044.0**
EV per MW · EV / FY2027 EBITDA (Base)	£3.48m · 5.9x

VALUE OF THE 17.5% STAKE

	Base	Downside	Upside
APV value at phase-specific rates (£m)	133.1	44.4	193.3
Premium of £155m over value	+16.5%	+249%	−19.8%
Equity IRR at £155m	4.9%	n.m.	13.7%
Cross-check: single 9.0% levered rate (£m)	134.4	50.3	195.1
Share of EV earned after the CfD ends	4%	negative	11%

APV BRIDGE, BASE (£M, 100%)

Free cash flow FY2027–FY2034 at 7.98% (CfD period)	1,711.1
Free cash flow FY2035 on at 10.72%, net of decommissioning	65.9
PV of interest tax shields (at 5.94% cost of debt)	39.5
Less existing debt at market value (£1,262m book)	(1,160.1)
Plus reserve cash	103.9
Equity value; 17.5% stake	**760.3; 133.1**

CfD-period rate: 5-year gilt 4.34% + 3.14% contracted premium + 0.5% offshore. Merchant rate: 20-year gilt 5.58% + 4.64% + 0.5%, plus 1.0% beyond year 30. Premiums reproduce Greencoat UK Wind's 9% blended rate; TRIG's single 9.0% is the cross-check.

WHAT YOU NEED TO BELIEVE FOR £155M

One variable moved, others at Base	Needed	Reading
P50 output	+4.7%	2,408 GWh; beaten only in FY2020
Cash costs, all years	−14%	Below the FY2023–25 average
Merchant price vs TRIG curve	×1.22	TRIG's highest forecaster ≈ +8%
Post-CfD non-grid cost saving	53%	Not credible on its own
Both discount rates	−1.95pt	CfD rate 1.7pt over the 5-year gilt
Asset life	>40 yrs	Tail too thin for life to matter

Combined buyer cases	Stake £m	IRR
A: 35-year life, merchant price +10%	147.5	8.2%
B: A + 15% post-CfD non-grid cost saving	154.5	9.2%
C: B + ten-year P10 output (+4%)	174.0	11.6%

GATES FOR MATCHING

1. Operator P50 of at least 2,300 GWh a year before curtailment (each 1% short costs about £4.7m).
2. Lease, consents and structure support operation to at least 2054 (35 years).
3. A costed plan cuts non-grid operating costs by at least 15% after 2034.
4. A post-2034 PPA or forecaster curve at least 10% above TRIG's GB offshore curve.

MARKET CHECK, 12 JUNE 2026

Listed UK renewable funds traded 20–37% below NAV (median −26%); the four wind-weighted funds, 23–32% below, imply 12–14% levered returns. At those rates the stake is worth £104–120m (£114m at TRIG's implied 13.6%). Private buyers of whole assets paid close to NAV: TRIG sold Beatrice 4% below NAV while buying back its own shares at about 35% below.

KEY JUDGEMENTS

- **The value is the CfD.** £205.70/MWh, CPI-linked, to about Nov 2033 and Apr 2034; 96% of EV is earned before it ends. After that, costs of about £174k/MW absorb most merchant revenue.
- **Output is the swing factor.** P50 rebuilt at 2,300 GWh from a 30-year ERA5 wind index (R^2 0.90); an estimate, not a yield study.
- **Public data checked first.** LCCC CfD payments match audited CfD revenue within £1.4m every year FY2020–25 except FY2024 (£3.3m).
- **Deal terms matter, but not enough.** Undisclosed locked-box and ticker terms move the premium between +2.5% and +16.5%; the price is at or above value under every structure.

Sources. TRIG RNS (15 June 2026), 2025 Annual Report and Q1 2026 NAV update; Beatrice Offshore Windfarm Ltd (SC350248) and Holdco (SC528855) accounts FY2019–FY2025; LCCC data portal; Elexon (B1610, BOAV, MID); Open-Meteo ERA5 archive; Bank of England; Greencoat UK Wind 2025 Annual Report; NextEnergy Solar Fund (Sep 2022); FT Markets closing prices. Weakest input: the P50, a wind-index estimate with no yield study.

Disclosure. Independent analysis of public information, written after the transaction was announced. Not commissioned, reviewed or endorsed by TRIG, Equitix or any party named. Not investment advice. Full memo (16 pages plus appendix), APV model and data pack available on request.

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